Airbnb Property Type Performance Analysis

Market Strategy for European Cities

Alain Yon, April 2026

Executive Summary

- Madrid private rooms present the strongest market entry opportunity: only 52 listings vs 188 apartments, with average pricing of $54/night and 4.8-star ratings
- Berlin apartments show pricing opportunity: $109 average with only 65 listings, suggesting less saturation than London ($154 avg, 52 listings)

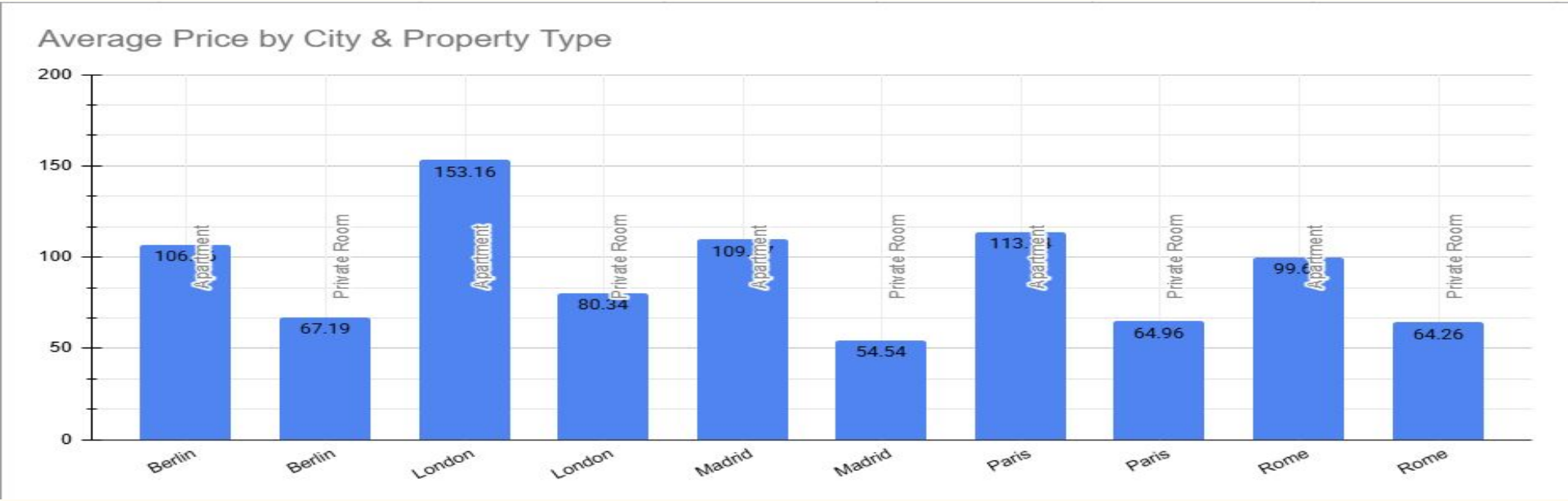
Business question

- How do apartments and Private Rooms perform across European Cities
  - Do apartments get higher prices?
  - Which cities have the biggest price gap?
  - Is there a relationship between price and guest reviews?
  - Where are the market opportunities?

Data Overview

- Dataset: 1350 Airbnb Listings across 5 European Cities
- Cities: Berlin, London, Madrid, Paris, Rome
- Property Types Analyzed: Apartments & Private Rooms
- Metrics: Price, Rating, Listing Count, Competitive Density

Average Price Comparison

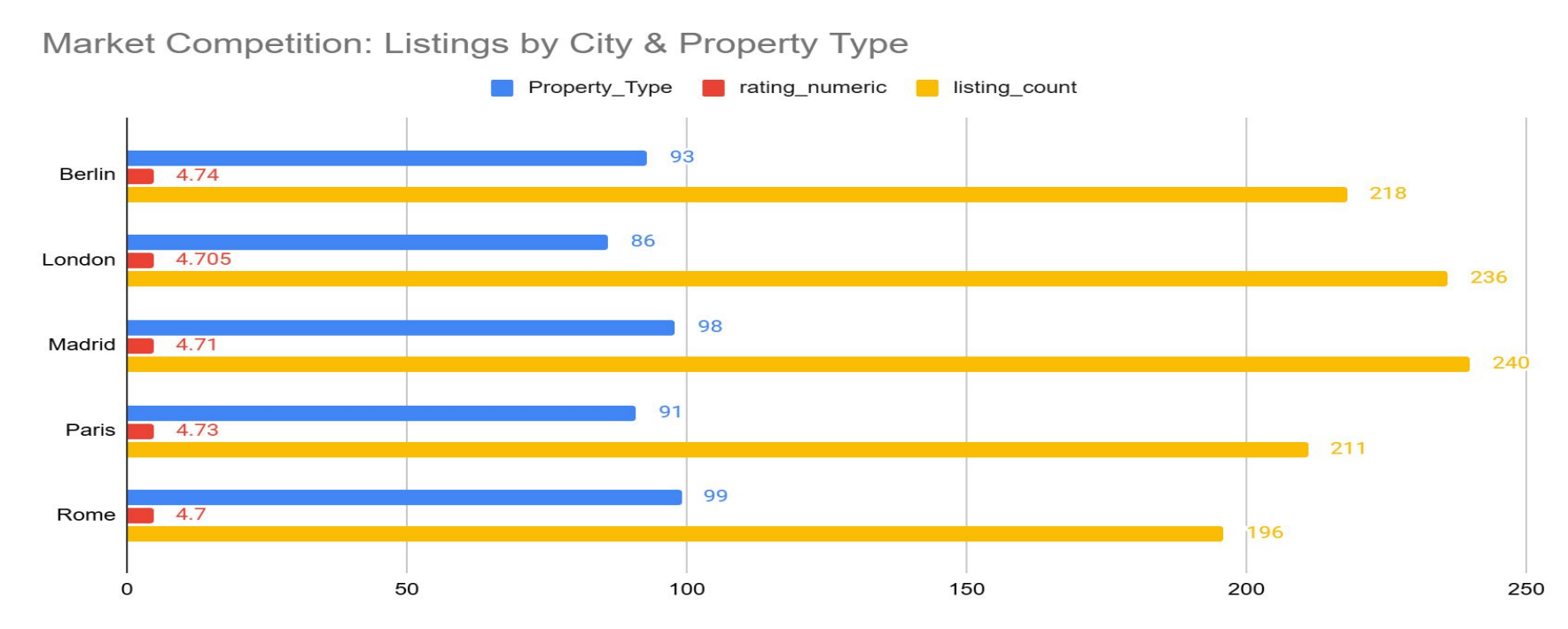


Apartments command 40–90% premium over private rooms. London apartments are most expensive at $154/night.

Key Finding 1 - Price Strategy

- London apartments avg $154/night vs $81 for private rooms
- Berlin apartments avg $109/night vs $67 for private rooms
- Implication: Hosts targeting mid-range budget should choose private rooms

Market Competition



Madrid apartments are oversaturated (188 listings), while London apartments are underserved (52 listings)

Key Finding 2 - Market Gap

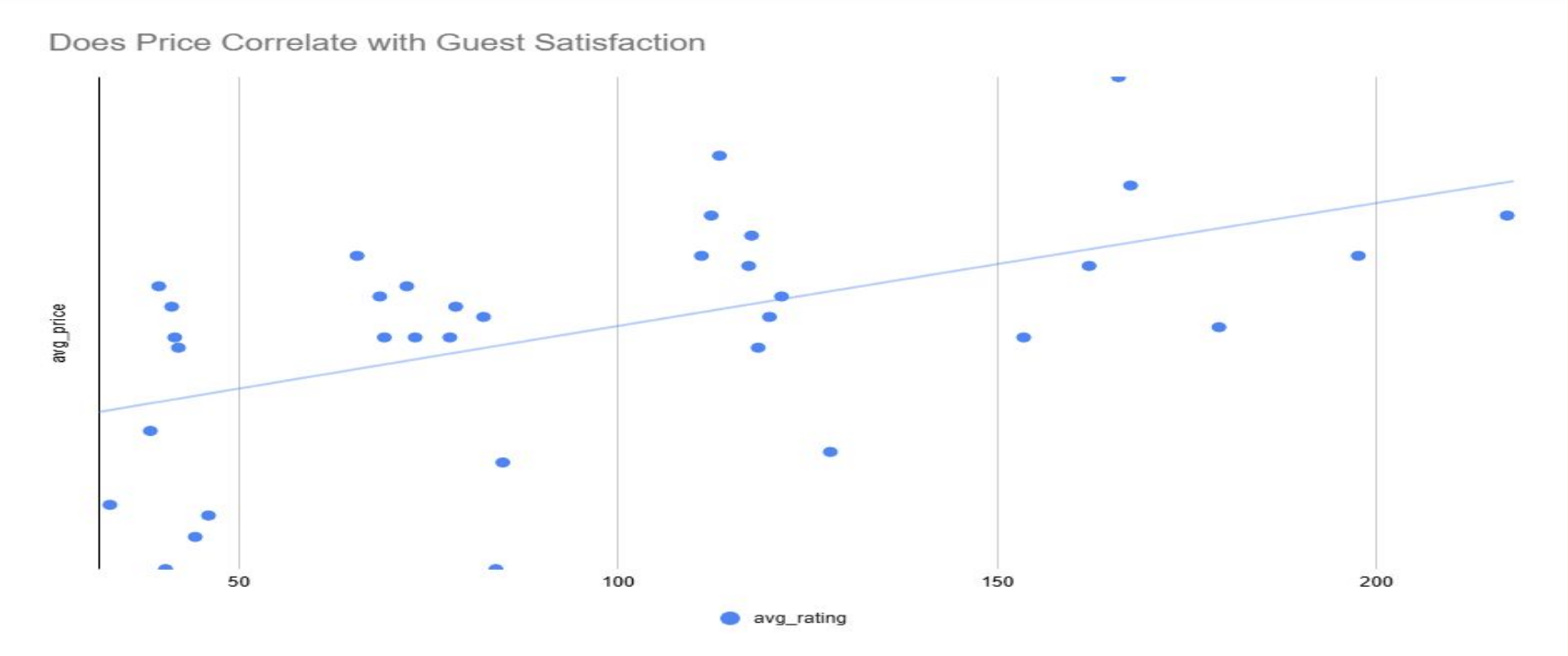
- Opportunity: Madrid Private Rooms & London Apartments

  - Madrid: Only 52 private room listings vs 188 apartments → Gap for budget room hosts

  - London: Only 52 apartment listings → Premium market with low supply

  - Berlin: 153 private rooms → Highly competitive; avoid this segment

Price Vs Rating



Weak correlation between price and rating ($r \approx 0.1–0.3$). Quality matters more than cost.

Key Finding 3 - Quality Insight

Guest Satisfaction is Consistent Across Price Points

- Average ratings: 4.69–4.79 across all segments
- Higher price ≠ automatically higher rating
- Implication: Focus on quality (reviews) over premium pricing

Investing in guest experience (cleanliness, communication, amenities) will drive ratings more effectively than simply charging premium prices. A $50/night property with 4.9 stars may outperform a $150/night property with 4.6 stars.

Recommendations

- For New Hosts:
  1. Enter Madrid as a private room host: Target the mid-range segment ($50–$99/night). Only 30 of 52 private room listings are in this tier (vs 67 apartments), creating an undersaturated niche. Average rating of 4.81 suggests strong guest satisfaction potential.
  2. Consider London apartments if you can offer premium quality (only 52 listings, $154 avg)
  3. Avoid Berlin private rooms (153 listings = saturated)
  4. Focus on guest experience → ratings matter as much as price

Data & Methodology

- Data Source: 1,350 Airbnb listings across 5 European cities (Berlin, London, Madrid, Paris, Rome)
- Analysis Tools: BigQuery (SQL) + Google Sheets
- Analysis Date: April 2026

```sql
SELECT
  City,
  Property_Type,
  COUNT(*) as listing_count,
  ROUND(AVG(Price_Per_Night_USD), 2) as avg_price,
  ROUND(MIN(Price_Per_Night_USD), 2) as min_price,
  ROUND(MAX(Price_Per_Night_USD), 2) as max_price,
  ROUND(STDDEV(Price_Per_Night_USD), 2) as price_stddev
FROM `case-study-gac-0426.airbnb.liistings`
WHERE Property_Type IN ('Apartment', 'Private Room')
GROUP BY City, Property_Type
ORDER BY City, avg_price DESC;
```

```sql
SELECT
  City,
  Property_Type,
  CASE
    WHEN Price_Per_Night_USD < 50 THEN 'Budget (<$50)'
    WHEN Price_Per_Night_USD BETWEEN 50 AND 99 THEN 'Mid-Range ($50-$99)'
    WHEN Price_Per_Night_USD BETWEEN 100 AND 149 THEN 'Premium ($100-$149)'
    WHEN Price_Per_Night_USD >= 150 THEN 'Luxury ($150+)'
  END as price_segment,
  COUNT(*) as listing_count,
  ROUND(AVG(CAST(Rating AS FLOAT64)), 2) as avg_rating,
  ROUND(AVG(Price_Per_Night_USD), 2) as avg_price
FROM `case-study-gac-0426.airbnb.liistings`
WHERE Property_Type IN ('Apartment', 'Private Room')
  AND Rating != 'No rating'
GROUP BY City, Property_Type, price_segment
ORDER BY City, Property_Type, avg_price;
```

```sql
SELECT
  City,
  Property_Type,
  CAST(Rating AS FLOAT64) as rating_numeric,
  COUNT(*) as listing_count,
  ROUND(AVG(Price_Per_Night_USD), 2) as avg_price
FROM `case-study-gac-0426.airbnb.liistings`
WHERE Property_Type IN ('Apartment', 'Private Room')
  AND Rating != 'No rating'
GROUP BY City, Property_Type, Rating
ORDER BY City, Property_Type, rating_numeric DESC;
```

```sql
SELECT
  City,
  Property_Type,
  COUNT(*) as total_listings,
  ROUND(AVG(Price_Per_Night_USD), 2) as avg_price,
  ROUND(AVG(CAST(Rating AS FLOAT64)), 2) as avg_rating,
  ROUND(STDDEV(Price_Per_Night_USD), 2) as price_spread,
  ROUND(MIN(Price_Per_Night_USD), 2) as cheapest,
  ROUND(MAX(Price_Per_Night_USD), 2) as most_expensive
FROM `case-study-gac-0426.airbnb.liistings`
WHERE Property_Type IN ('Apartment', 'Private Room')
  AND Rating != 'No rating'
GROUP BY City, Property_Type
ORDER BY City, avg_price DESC;
```